

GLOBAL KINGS LOGISTICS/
KAMORDEEN A. GANIU,
Complainant,
v.
MEDITERRANEAN SHIPPING COMPANY
(USA) INC.
Respondent.

DOCKET NO. 26-09

Respondent Mediterranean Shipping Company (USA) Inc. (“MSC USA” or “Respondent”) submits this memorandum in support of its Motion to Dismiss (“Motion”).

Although the Federal Maritime Commission (the “Commission”) Rules do not expressly provide for motions to dismiss, it is well established that a respondent may bring motions pursuant to the Federal Rules of Civil Procedure when such motions are not inconsistent with FMC Rules or sound administrative practice. *See* 46 C.F.R. § 502.12; *See e.g., Marine Transp. Logistics, Inc. v. CMA-CGM (America) LLC*, Docket No. 18-07, 2019 WL 5206007, at *2 (FMC ALJ Oct. 8, 2019); *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 32 S.R.R. 126, 136 (FMC 2011). The Commission looks to Federal Rule of Civil Procedure 12(b)(2) when considering dismissals based on lack of personal jurisdiction, and to Rule 12(b)(6) when considering dismissals based on

failure to state a claim. *MAVL Capital v. Marine Transport Logistics*, 2 F.M.C. 2d 198, 2020 WL 13512925 at *4 (FMC 2020).

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). “A claim has facial plausibility when the pleaded factual content allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009) (citing *Twombly*, 550 U.S. at 556). “A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.’” *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 555).

II. Argument

A. The Complaint should be Dismissed in Full because the Commission Lacks Personal Jurisdiction Over Respondent

The Complaint incorrectly alleges that Respondent is an ocean common carrier operating in U.S. foreign commerce that is subject to 41102(c) and 46 C.F.R. Part 545. *See* Compl. at II, V. This is incorrect.

The pleadings show that MSC USA is the agent of an ocean common carrier, not an ocean common carrier. The invoices and bills of lading attached to the Complaint clearly and unmistakably identify MSC USA as an agent and an entirely different entity than the ocean common carrier. Since MSC USA is not an ocean common carrier, it is not subject to the Shipping Act and the Commission lacks personal jurisdiction over it. Accordingly, the Complaint should be dismissed on that basis.

When a complaint filed with the agency names as a respondent the agent of an ocean common carrier, rather than the ocean common carrier itself, it must be dismissed. *Trane*

Company v. South African Marine Corp. (N.Y.), 19 F.M.C. 375 (ALJ 1976), administratively final November 4, 1976, 19 F.M.C. 374; *Caterpillar Overseas S.A. v. South African Marine Corporation* (N.Y.), 19 F.M.C. 315, 319 (ALJ 1976, administratively final October 27, 1976).

In *Trane Company*, the complainant alleged that it had been overcharged for two shipments of cargo. The administrative law judge, in a decision adopted by the Commission, held that because the complaint named as a respondent the agent of the ocean common carrier that transported the cargo rather than the carrier itself, the complaint was “fatally defective” and had to be dismissed. *Trane Company* at 384. See also, *Agreement Between Puerto Rico Maritime Shipping Authority and Puerto Rico Marine Management, Inc./Puerto Marine Operating Company, Inc.*, 21 F.M.C. 626, 627 note 3 (FMC 1979)(“Agents of common carriers, as such, are not subject to the Shipping Act.”).

The complaint in this proceeding names MSC USA as a respondent. Because MSC USA is not an ocean common carrier, but the agent of an ocean carrier, the Complaint suffers from the same jurisdictional defect as the complaints in the cases cited above and should be dismissed.¹

B. Count II of the Complaint should be Dismissed Because Complainant Fails to State a Claim for Relief Under 46 C.F.R. Part 545.

The Complaint fails to state a claim for relief under 46 C.F.R. Part 545 because Part 545 provides interpretive guidance that imposes no substantive obligations on Respondent. Interpretive rules, such as those set forth in Part 545, “are explanatory in nature” and “they do not impose new obligations” on regulated parties. See *Interpretive Rule on Demurrage and Detention Under the*

¹ In *TCW, Inc. v. Evergreen Shipping Agency (America) Corporation*, the small claims officer found that the Commission has jurisdiction over an agent under a theory of “pendent jurisdiction.” FMC Docket No. 1966(I)(Initial Decision Feb. 19, 2021) at 15. That conclusion reflects a misreading of that doctrine. Similarly, the Commission’s determination that it may assert personal jurisdiction over an entity that is not an ocean common carrier in that same proceeding is invalid as an unexplained and unjustified departure from the precedent cited above. *TCW, Inc. v. Evergreen Shipping Agency (America) Corporation*, FMC Docket No. 1966(I)(FMC Dec. 29, 2022) at 5.

Shipping Act, 85 Fed. Reg. 29638, 29641 (May 18, 2020). Because Part 545 imposes no obligations on Respondent, Part 545 may not in and of itself serve as the basis of a valid claim for relief. Therefore, Count II should be dismissed.

C. Count III of the Complaint should be Dismissed Because Complainant Fails to State a Claim for Relief Under the Applicable Ocean Shipping Reform Act (“OSRA”) Burden of Proof.

Count III of the Complaint alleges that Respondent failed to meet the burden of proof under OSRA. As explained below, this allegation misinterprets applicable law and fails to state a claim for which relief can be granted.

Under the Administrative Procedure Act, the proponent of a rule or order has the burden of proof except as otherwise provided by statute. 5 U.S.C. §556(d). This proceeding was initiated by the filing of the Complaint pursuant to 46 U.S.C. § 41301. For complaints filed with the Commission pursuant to § 41301, the Complainant bears the burden of proof of establishing that the Respondent has violated the Act. *See* 46 C.F.R. §502.203; *Maier Terminals v. The Port Authority of New York and New Jersey*, Docket No. 08-03, 2014 WL 9966245 at *14 (FMC 2014); *Muhammad Rana v. Michelle Franklin*, Docket No. 19-03, 2020 WL 2538465 at *14 quoting *Director, Office of Workers’ Comp. Programs v. Greenwich Collieries*, 512 U.S. 267, 281 (1994).

The Ocean Shipping Reform Act of 2022 added § 41310 to the Shipping Act. 46 U.S.C. § 41310(b)(2) places the burden of establishing the reasonableness of any charge on the common carrier. However, that requirement applies only in an investigation of a charge complaint filed under § 41310; it does not apply in a complaint proceeding initiated under §41301.

Accordingly, Count III fails to state a claim for which relief can be granted and should be dismissed.

D. To the Extent the Commission has Jurisdiction over Respondent, Count IV of the Complaint should Be Dismissed Because Complainant Fails to State a Claim for Relief Under any Legal Standard.

Count IV of the Complaint states a claim for “improper reliance on account statements.”

Complainant provides no legal grounds or explanation associated with this statement.

Complainant’s failure to identify the statutory section that Respondent has allegedly violated means that the Complaint fails to comply with 46 C.F.R. §502.62(a)(3)(ii)(requiring “specific designation of the statutory provisions alleged to have been violated”) and fails to plausibly plead a claim for which relief can be granted. Accordingly, Count IV should be dismissed.

III. Conclusion

For the foregoing reasons, the Complaint should be dismissed in full with prejudice.

Respectfully submitted,

A handwritten signature in black ink, appearing to read "Wayne R. Rohde". The signature is fluid and cursive, with the first name "Wayne" and last name "Rohde" clearly distinguishable.

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